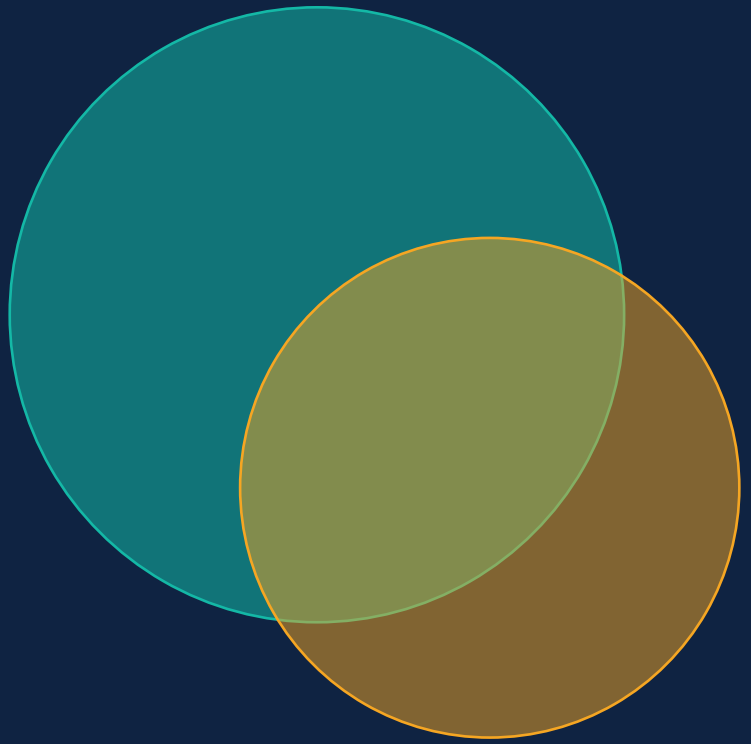
CAPSTONE PROJECT · AICA LEVEL 2

Automating Group Bank Reconciliation

From a manual Excel process to a standardised, automated one across 42 companies, 30 banks and 300 accounts



Bikram Rout

The Group at a glance

UK-listed, with its head office in the UAE and operations across 10 countries

42	30	~300	8	10
Group companies	Banking partners	Bank accounts	Currencies	Countries

Account types

- Corporate
- Project escrow

Currencies

AED · OMR · QAR · SAR · EUR · GBP · USD · BAM

Reconciliation today

01

Collect statements

Download bank statements from about 30 banks

02

Match records

Compare bank lines with accounting records

03

Investigate gaps

Chase unmatched and ageing items

04

Prepare reports

Build a reconciliation report per account

All of it runs in Microsoft Excel, repeated for every entity, bank, account, currency and reporting period.

Eight pain points

Time & manpower
About 300 accounts reconciled by hand

Repetition
Download, organise, compare, repeat

Error risk
Keying, matching and formula slips

Late detection
Differences found and fixed slowly

Ageing items
Outstanding items hard to track

Inconsistency
Different formats and review practices

Escrow accounts
Project-specific review and monitoring

Multi-currency
Eight currencies and FX differences

Impact on the Group



Heavy admin burden

Finance teams spend their time on repetitive matching instead of analysis.



Uneven control

Different formats and review practices make consistent controls hard to enforce.



Late, partial visibility

Differences are resolved late and management lacks a timely Group-wide view.

Result: slower closes, less time for analysis and less reliable reporting.

Problem statement

PROBLEM STATEMENT

Reconciling about 300 corporate and escrow accounts across 42 entities, 30 banks and 8 currencies is a fragmented, manual Excel process. It consumes scarce finance capacity, produces inconsistent and error-prone output, and surfaces unmatched and ageing items late, leaving management without a timely, Group-wide view of cash and reconciliation status.



The core question

How can a standardised, automated reconciliation process raise efficiency, accuracy, consistency and oversight across the Group, including escrow and multi-currency accounts?

What success looks like

Efficiency	Preparer hours per account and days to complete month-end reconciliations
Accuracy	Share of transactions auto-matched, plus error and rework rate
Consistency	One standard template and workflow used by all 42 entities
Oversight	Live status, unmatched and aged items, and balances by entity, bank and currency

Proposed approach

01

Standardise

Bring bank statements and ledger data into one common format.

02

Auto-match

Apply rules on amount, date and reference, with FX tolerance.

03

Exceptions

Flag unmatched items, track ageing and assign owners.

04

Monitor

Group dashboard by entity, bank, account and currency.

Escrow-specific and multi-currency handling built in from day one

Proposed automation solution

Ingest

Upload Excel, CSV, MT940, OFX, CAMT.053 or PDF statements and Oracle ledger exports.

Validate

Check balances, currency, dates and duplicate files before anything is committed.

Match

An eight-tier engine pairs ledger and bank lines using exact decimal maths.

Resolve

Review suggestions, split allocations and track outstanding items and ageing.

Reconcile

The Bank Reconciliation Statement is built automatically, with the residual shown.

Approve and report

Review, approve and lock workflow, plus dashboards and Excel / PDF exports.

The matching engine

1. Exact reference and amount
2. Cheque or payment ID and amount
3. Same amount within 7 days, with reference evidence
4. Description match with amount and date tolerance
5. One ledger line to many bank lines
6. Many ledger lines to one bank line
7. Many-to-many, limited to small groups

TIERS 1 TO 7: CONFIRMED AUTOMATICALLY



Tier 8: human review

Fuzzy description matches are only suggested. A person must confirm or reject each one.

Guardrails: zero amount tolerance by default, and no transaction is ever matched twice.

How automation answers each pain point

Time and manpower	Routine items are matched automatically, so staff review exceptions only
Error risk	Exact decimal maths, import validation and duplicate-file detection
Late detection	Variance and residual are recalculated on every upload
Ageing items	Outstanding items are categorised, aged and carried forward
Inconsistency	One template, one workflow and one rule set for every entity
Limited visibility	Group dashboard by company, bank, account and currency

Controls built in

Segregation of duties

A preparer cannot approve their own work, and an account with a residual cannot be approved.

Full audit trail

Every upload, match, status change and unlock is logged with user, time and reason.

Locked periods

Approved periods are frozen. Reopening needs a documented reason.

Data integrity

Exact decimal money, duplicate-file checks and exports protected from formula injection.

The residual is never forced to zero: unreconciled differences stay visible.

Implementation roadmap

DONE

Prototype

Working BRS Tool with demo data. The acceptance test flags a 1,000.00 residual correctly.

PHASE 1

Pilot

Run 5 to 10 accounts across several entities, tune the rules and compare time against Excel.

PHASE 2

Roll-out

Onboard all 42 entities with bulk master-data import, templates and user training.

PHASE 3

Integrate

Direct Oracle and bank feeds, escrow rules, real sign-in and server-side permissions.